

BUSINESS JUSTIFICATION

FOR THE DEVELOPMENT OF NEW ISO 20022 FINANCIAL REPOSITORY ITEMS

Note: the purpose of this document is to give guidelines to organisations that want to develop new candidate ISO 20022 message definitions. Such requests are subject to the approval of a business justification by the ISO 20022 Registration Management Group (RMG). Please consult the iso20022.org website for additional details on the registration process. The business justification must include the following captions, as described. Business justifications are to be sent via e-mail to iso20022ra@iso20022.org

A. Name of the request:

Cash Deposit & Withdrawal Requests

B. Submitting organisation(s):

Swift

Avenue Adele 1 – 1310 La Hulpe – Belgium

Standards Department

sponsored by the Federal Reserve Bank New York and South African community

C. Scope of the new development:

In the context of the Swift migration of the payment messages MT category 1, 2 and 9 to ISO 20022 messages, it has been noted that there is a cash deposit request and cash withdrawal request process currently being handled through use of the free format MTn99 messages.

The process sees an account owner inform an account servicer that they plan to deposit cash (banknotes) into their account or plan to withdraw cash (banknotes) from their account. This would typically be large amounts of cash transported via secure means (may be referred to as a cash handler).

Whilst we are aware that the process happens at central and private banks these new messages will be built to allow use by any parties in the ISO 20022 business model, limitations on who can use the messages can be defined at a local market practice level if needed.

We are aware of ISO 20022 business justification (RA ID: 47) submitted in 2013 by the National Bank of Belgium which broadly proposed the same as this business justification. This received widespread support and PAYSEG approval but was later withdrawn. Any new messages built as part of this process will attempt to cover concepts covered in that business justification too. We would be happy to work with all interested parties as part of our message development process.

Having analysed existing ISO 20022 base messages, the submitting organisation cannot identify existing messages that can be used for this purpose. We do however note the existence of a Cash Deposit component in the Bank-to-Customer Cash Management message set which we may plan to recycle in these new messages.

The proposed business area for the message is “camt”.

The submitting organisation expects to develop four new messages –

- cash deposit request
- cash withdrawal request
- cash deposit or withdrawal status update
- cash deposit or withdrawal cancellation request

Based on the scope, the submitting organisation proposes to assign the Payment Standards Evaluation Group(s) (SEG) for the evaluation of the candidate ISO 20022 message, once developed.

The new message will use the ISO 20022 Business Application Header (BAH) without repeating header elements within the message.

The submitting organisation wants to deploy the future message in the default ISO 20022 XML syntax only.

We do not plan to offer the ability for a cash deposit or withdrawal request to be amended, the original cash deposit or withdrawal request message would have to be cancelled, with a new request message then issued.

For a cash withdrawal request the account owner may be asked to confirm to the account servicer that the cash (banknotes) withdrawn have been received safely at the account owner’s own bank vault. This is a final one-way communication. This could be handled by re-sending the new cash withdrawal request message with some form of updated status code. This will be further discussed during the message development.

D. Purpose of the new development:

The purpose of the development of these messages is to allow users to stop using the Swift MTn99 messages that ideally should no longer be used for these purposes.

E. Community of users and benefits:

1. Benefits/savings: The proposed messages will improve the efficiency of the data to be exchanged. It will increase the processing of those data and will allow SWIFT to retire their free format messages.

2. Adoption scenario: Swift would plan to implement this message as part of its CBPR+ implementation **no sooner** than November 2027 but would require an approved ISO 20022 base message by August 2026 if targeting November 2027. Final implementation dates to be confirmed in partnership with the CBPR+ Group.
3. Volumes: Success of this initiative will mean that impacted banks use these new messages as opposed to the MTn99 messages, this will contribute to Swift's ongoing effort to retire usage of the MT199 and MT299. The FED alone see 900 of these messages yearly and this is just one bank offering this service.
4. Sponsors and adopters: The Federal Reserve Bank and South African community are sponsors.

F. Timing and development:

- **Urgency of the development:** Regular schedule. This is not considered an urgent development.
- **Expected Timing:** Swift plans to have the messages available for submission by end of Q1 2026.
- **Submitting organisations involved:** Swift plans to involve the US and South African central banks in the development but would be open to working with any bank (central or private etc.) that would like to volunteer.
- **Other known standards initiative(s) involved in an effort to address the same requirements:** Business Justification #47 (Cash Lodgement and Withdrawal) for the same process was approved, and then withdrawn in 2013 for unknown reasons.

G. Commitments of the submitting organisation:

Swift confirms that it can and will:

- undertake the development of the candidate ISO 20022 business and message models that it will submit to the RA for compliance review and evaluation. The submission must be compliant with the ISO 20022 Master Rules and include a draft Part 1 of the Message Definition Report (MDR) compliant with the template for MDR part 1 provided by the RA, the ISO 20022 Message Transport Mode (MTM) that the submitting organization recommends to consider with the submitted message set, and, optionally, examples of valid and invalid instances of each candidate message. The submission may also include a Message User Guide (MUG) to complement the MDR and describe in further details how to use the different possibilities/options of the proposed candidate messages;
- address any queries related to the description of the models and messages as published by the RA on the ISO 20022 website.

The submitting organisation confirms that it will promptly inform the RA about any changes or more accurate information about the number of candidate messages and the timing of their

submission to the RA. If the submitting organisation does not submit the candidate messages within the timing announced in section F and does not inform the RA beforehand, the business justification may lapse and require re-submission of a new business justification for approval by the RMG.

The submitting organisation does not intend to organize any testing of the candidate messages once they have been reviewed and qualified by the RA and before their submission to the SEG(s) for approval. As part of any implementation of the messages, once approved, testing will be carried out. Schema valid examples will be included in the MDR Part 1.

The submitting organisation confirms that it will promptly inform the RA about any changes or more accurate information about the timing of this re-submission to the RA. If the submitting organisation does not re-submit the candidate messages as announced and does not inform the RA beforehand, the business justification may lapse and require re-submission of a new business justification for approval by the RMG.

The submitting organisation confirms it is committed to undertake the future message maintenance.

The submitting organisation confirms its knowledge and acceptance of the ISO 20022 Intellectual Property Rights policy for contributing organisations, as follows.

“Organizations that contribute information to be incorporated into the ISO 20022 Repository shall keep any Intellectual Property Rights (IPR) they have on this information. A contributing organization warrants that it has sufficient rights on the contributed information to have it published in the ISO 20022 Repository through the ISO 20022 Registration Authority in accordance with the rules set in ISO 20022. To ascertain a widespread, public and uniform use of the ISO 20022 Repository information, the contributing organization grants third parties a non-exclusive, royalty-free licence to use the published information”.

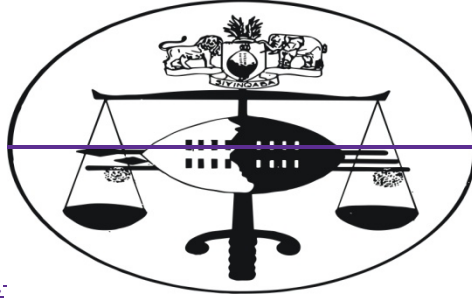
H. Contact persons:

Dean Chard dean.chard@swift.com

Rochell Ntow Rochell.ntow@swift.com

I. Comments from the RMG members and relevant SEG(s) or SubSEG(s) and disposition of comments by the submitting organisation:

This section will include the comments received from RMG members and the SEG(s) or SubSEG(s), if any, and the response given to each of these comments by the submitting



organisation.-

IN THE SUPREME COURT OF SWAZILAND

HELD AT MBABANE

JUDGMENT

Civil Appeal No. 78/2013

In the matter between

SIMON VILANE N.O. ————— First Appellant

MANDLENKHOSI VILANE N.O. ————— Second Appellant

UMFOMOTI INVESTMENTS N.O. ————— Third Appellant

And

LIPNEY INVESTMENTS (PTY) LTD — Respondent

Neutral citation: ~~*Simon Vilane N.O., Mandlenkhosi Vilane N.O., Umfomoti Investments N.O. v Lipney Investments (Pty) LTD (23/2013) [2014] SZSC 28 (30 May 2014)*~~

Coram: ~~RAMODIBEDI CJ, EBRAHIM JA and MCB MAPHALALA JA,~~

Heard: ~~21 MAY 2014~~

Delivered: ~~30 MAY 2014~~

SUMMARY

~~*Practice and procedure — Interdict — The respondent company, as applicant, sought and obtained an interim order interdicting and restraining the appellants from transferring certain disputed property as well as an order to have the property registered in its name — Serious allegations of fraud directed against the appellants — No answering affidavits forthcoming from the appellants — The appellants wrongly relying on Rule 35 (20) of the High Court Rules on discovery as*~~

~~justification for not filing answering affidavits—The court a quo correctly holding the view that there was “no contest” as to the facts and thus confirming the interim order—Appeal dismissed with costs.~~

JUDGMENT

~~RAMODIBEDI CJ~~

~~[1]—The respondent company, as applicant, sought and obtained an interim order in the High Court interdicting and restraining the appellants from alienating, transferring or encumbering certain immovable property under deed of Transfer No. 273/2013, being portion 3 of Farm No. 28 situated in the Lubombo District in Swaziland. Furthermore, the respondent applied for an order registering the property in its name.~~

~~[2]—According to the uncontested contents of the founding affidavit of Walter Phillip Bennett, who is a Director of the respondent~~

~~company, the disputed property originally belonged to the late Henry Ntonto Vilane (“the deceased”). It was subsequently sold to the respondent by one Siboniso C. Dlamini in his capacity as the Executor of the deceased’s estate. He was duly cited as the 7th respondent in the court below. An order for the transfer of the property into the respondent’s name was actually sought against him in the present matter.~~

[3] ~~It is pertinent to record that the founding affidavit of Walter Phillip Bennett is replete with several serious allegations of fraud perpetrated by the appellants against the deceased’s estate. These may be summarised as follows:-~~

(1) ~~Upon the deceased’s death, and before the Executor could be appointed by the Master of the High Court to administer the estate, his eldest son, Ben Jacob Vilane, fraudulently caused all his properties to be transferred into his name, claiming that he was the designated heir. It is alleged that in so doing, he~~

~~made a fraudulent misrepresentation to the Registrar of Deeds that he was the Executor of the deceased's estate and was, therefore, authorised to effect the transfer. In my view, these were serious allegations which stood uncontroverted.~~

~~It need hardly be stressed that in law the heir does not acquire dominium in the deceased's estate until it is wound up after the appointment of an executor. It will be seen for that matter that in terms of s 41 of the Administration of Estates Act 28 of 1902, all persons (including the heir) who are in possession of any assets belonging to the deceased's estate are obliged to deliver such assets to the Executor. See, for example, the decision of this Court in Elijah Matsebula and Another v Cebsile Matsebula (born Hlophe), Case No. 21/2011. It is indeed so that in terms of the Act all the estates of the deceased persons must be reported to the Master of the High Court who then issues letters of administration in terms of s 22. It follows, then, that there can be no question of self-help in a matter such as this as the appellants seem to suggest.~~

~~(2) True to the notion that there is no honour amongst thieves, it is further alleged in Walter Phillip Bennett's founding affidavit that Ben Jacob Vilane's younger brother, one Anthony Tinyo Vilane, subsequently fraudulently transferred the properties from his brother into his own name. The latter, however, obtained a court order which transferred the property back to him.~~

~~(3) Walter Phillip Bennett is unchallenged in paragraph 19 of his founding affidavit to the effect that upon the realisation of the various fraudulent activities committed against the deceased's estate, the Master of the High Court appointed Siboniso C. Dlamini as the Executor of the deceased's estate as indicated above. This was done by way of a court order dated 2 June 1993, which superceded the previous one in favour of Ben Jacob Vilane.~~

~~(4) Finally, Walter Phillip Bennett averred in his founding affidavit that the first and second appellants subsequently attempted to fraudulently transfer the property in question to the third appellant.~~

~~[4] It is undoubtedly opportune at this stage to make this pertinent observation. This is that it is a strange feature of this case that the appellants, who were respondents in the court below, failed to file any answering affidavits. This, in the face of an avalanche of accusations of several acts of fraud as fully set out above. In my view, they have got only themselves to blame for the result that follows hereunder.~~

~~[5] As I see it, the appellants' naivety may be gleaned from their second ground of appeal in which they make the following point:-~~

~~*“(c) The learned judge erred in not finding that having issued a Rule 35 (20) [of the High Court Rules] there was no duty on the appellants to file answering papers,*~~

the respondent having not produced the documents as requested.”

[6] ~~Indeed, the record shows that, instead of filing an answering affidavit, the appellants filed a Rule 35 (20) notice which is on discovery, inspection and production of documents and tape recordings. The notice provided as follows:-~~

~~“BE PLEASED TO TAKE NOTICE THAT the 1st, 2nd and 3rd respondents require the applicant to produce for their inspection the following documents referred to in the applicant’s founding affidavit:~~

- ~~(i) the Order of Court of the 2nd June, 1993.~~*
- ~~(ii) the pleadings/affidavits underlying such Order.”~~*

[7] ~~Now, the sanction for failing to comply with Rule 35 (20) notice is contained in Rule 35 (21). It is simply to the effect that a defaulting party shall not, save with the leave of the court, use such document or tape recording in the proceedings. However, the other party may use the document or tape recording. It follows, therefore, that Rule~~

~~35 (20) is not, by any stretch of the imagination, a substitute for an answering affidavit.~~

~~[8] In this Court Adv Flynn for the appellants made heavy weather of the fact that they could not file answering affidavits before having sight of the order of June 1993 (or 1992 as it subsequently emerged) referred to in the founding affidavit as fully set out in paragraph [3] above. Pressed by this Court on the soundness of such a proposition in the circumstances of this case, counsel switched horses midstream. He was heard to argue that the respondent's own papers filed subsequently were full of contradictions and that the end result was that the respondent had failed to establish a clear right for the interdict sought. Counsel's submissions are, in my view, untenable for reasons that follow hereunder.~~

~~(1) The fact that the court order in question was not immediately forthcoming is not sufficient justification for the appellants' failure to file answering affidavits. In any event, they failed to put the respondent to terms on the point. In this regard it is~~

~~important to observe that they only issued a Rule 35 (20) notice but failed to follow it up with a proper application to compel discovery. As stated in paragraph [7] above, it is clear, as it seems to me, that in the absence of an application to compel discovery, followed by a court order in that regard, the appellants' remedy lies in Rule 35 (21) in terms of which the defaulting party is not entitled to use such document in the proceedings except with the leave of the court.~~

~~(2) — The record shows that by the time the matter was argued in the court a quo in October 2013, the respondent had duly furnished the appellants with the court order in question. Yet despite the order having been made available to them they still failed to file answering affidavits. In a well presented argument, Mr M.E Simelane for the respondent submitted that the appellants did not have the courage to address on oath the “wrongs” they had committed against the deceased's estate. I am disposed to agree in the circumstances of this case.~~

[9] ~~In its approach to the matter, the court a quo took the view that because of the appellants' failure to file answering affidavits, there was "simply no contest in this case and the application ought to be granted without any further ado." I am unable to find any fault with this approach in the circumstances of this case. Indeed, the learned Judge a quo is supported by authority. Thus, for example, in Chobokoane v Solicitor General 1985—1989 LAC 64 at 65 the Lesotho Court of Appeal made the following apposite remarks which I am happy to adopt in this jurisdiction:-~~

~~*"The affidavit made by the applicant constitutes and contains not only his allegations but also his evidence, and if this evidence is not controverted or explained, it will usually be accepted by the Court. In other words the affidavit itself constitutes proof, and no further proof is necessary. ... and as there has been no denial, the matter must be approached on the basis that these allegations by appellant are proved."*~~

~~In this jurisdiction see, for example, The Prime Minister of Swaziland and Others V Christopher Vilakati, Civil Appeal Case No. 30/12 per Moore JA (Ebrahim and Ota JJA concurring).~~

[10] ~~Adv Flynn relied heavily on the cases of Protea Assurance Co LTD and Another V Waverly Agencies CC and Others 1994 (3) SA 247 (C) and Unilever plc and Another V Polagric (Pty) LTD 2001 (2) SA 329 (C) respectively for the proposition that the appellants were entitled to the discovery of the court order in question before they could file answering affidavits. I consider, however, that those cases were quoted out of context. The reality is that those were cases in which applications were made to compel discovery. They are thus distinguishable from the present case where no such application was made at all. All that was done here, as I repeat, was to file a notice for discovery without more.~~

[11] ~~At this stage I discern the need to draw attention to the following salutary remarks of Corbett J, as he then was, in Bader and Another v Weston and Another 1967 (1) SA 134 (C) at 136:-~~

~~“It seems to me that, generally speaking, our application procedure requires a respondent, who wishes to oppose an application on the merits, to place his case on the merits before the Court by way of affidavit within the normal time limits and in accordance with the normal procedures prescribed by the Rules of Court. Having done so, it is also open to him to take the preliminary point that (in this case) the petition fails to disclose a cause of action and this will often be a convenient procedure where material disputes of fact have arisen which cannot be resolved without recourse to the hearing of oral evidence. On the other hand, I do not think that normally it is proper for such a respondent not to file opposing affidavits but merely to take the preliminary point.”~~

~~One has a similar situation here.~~

~~[12] It follows from these considerations that there is no merit in the appeal. It is accordingly dismissed with costs.~~

M. M. RAMODIBEDI

CHIEF JUSTICE

I agree

A.M. EBRAHIM

JUSTICE OF APPEAL

I agree

MCB MAPHALALA

JUSTICE OF APPEAL

For Appellants : Adv P.E. Flynn

For Respondent _____ : **Mr M.E. Simelane**